

D.J. PARIS

STOP TELLING BUYERS TO WAIT FOR RATES TO DROP.

NAR's chief economist just called 7 percent the new normal. Here's what to say instead, and what to do with sellers this month.

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Keeping It Real Podcast

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PENDING HOME SALES JUST HIT THEIR LOWEST POINT IN NEARLY THREE YEARS.

The Fed's September rate hike pushed the 30-year fixed to 7.24 percent, and buyers who can still qualify have less competition than they've had in years, per Redfin.

THE LEVERAGE WINDOW IS RIGHT NOW, NOT LATER.

NAR chief economist Lawrence Yun said on September 16 that rates could ease only if oil prices fall and a credible federal deficit plan appears, and called both "highly uncertain." Meanwhile Redfin reported pending sales fell to 299,126 that week, the lowest level in nearly three years and down 5.4 percent from a year earlier. Telling a buyer to wait for 6 percent again asks them to sit out a window where they're actually negotiating from strength, in exchange for a rate cut nobody can put a date on.

WHAT TO DO DIFFERENTLY THIS MONTH:

- 1** Give buyers the honest math, not the hopeful one.
"7 percent is what NAR's chief economist
- 2** is calling the new normal, not a temporary spike."
Set that expectation before the first
- 3** showing, not after they've fallen for a house they
can't recalculate for.
- 4** Bring the reduced-competition number into the
pitch.
Pending sales just hit their lowest
- 5** point in nearly three years. Fewer buyers are
chasing the same inventory right now.
- 6** Reframe the seller conversation around days on
market, not price.
With buyers slower to
- 7** commit, a seller's pricing strategy needs a longer
runway built in, not a faster one.

THE TAKEAWAY

**THE RATE ISN'T
GOING BACK TO 6
THIS YEAR. HAVE
THAT
CONVERSATION
WITH YOUR NEXT
BUYER BEFORE
THEY HEAR IT FROM
SOMEONE ELSE.**

This is the market. Work the leverage that's actually in it.